Misrepresentation

English contract law | Study guide | Elements, evidence and remedies

A dealer says a van has never suffered structural damage. A buyer relies on that statement and signs. If the statement was false, English law may give the buyer a remedy. Begin with the words and their effect on the decision, then identify the appropriate remedy.

1. Identify the representation

Set out the exact words or conduct, who was responsible for them, to whom they were conveyed and when. In the ordinary contractual case, the statement is made before formation by or on behalf of the other party. An express assertion and an impression conveyed by conduct can both qualify.

2. Check whether the impression was false or misleading

Ask what the words or conduct would convey in context. A literally accurate statement can mislead if it gives an incomplete account. For example, saying that a van passed a basic roadworthiness check may be misleading if the speaker presents that check as a full inspection of the structure. Compare the representation with the facts at the relevant time.

3. Establish actual inducement

The representation must have influenced this recipient’s decision to contract. Its materiality, meaning its capacity to influence the decision, can support an inference of actual inducement. The inquiry remains factual. A buyer may rely on a statement about a van’s history while also taking account of the price.

4. Distinguish void, voidable and terminated

A **void** agreement has no binding contractual effect from the outset. An actionable misrepresentation generally makes a contract **voidable**. It remains effective unless the entitled party rescinds it, subject to limits. Termination for repudiatory breach generally releases future primary obligations. The analysis and its consequences differ from rescission for misrepresentation.

> Legal English | **Actionable** means capable of supporting a legal claim or remedy. **To induce someone to enter into a contract** means to influence that person’s decision to contract.

Facts, Opinions and Reliance

Bisset v Wilkinson | Reading an estimate in context

The seller estimated that the land could carry 2,000 sheep. Both parties knew the holding had never been run as a sheep farm. The Privy Council treated the estimate as an honestly held opinion in that context. The buyers also failed to establish that the land was incapable of carrying the stated number if properly managed. The report is cited as [1927] AC 177.

Smith v Land and House Property Corp | An implied factual basis

A landlord praised a tenant while knowing of rent arrears. Given the landlord's special knowledge, the apparent opinion implied facts that justified it. In a problem question, ask what the recipient could reasonably understand the speaker to be asserting. A statement about a future act may also convey a present intention.

Silence, half-truths and changing circumstances

Ordinarily, a party has no general duty to volunteer information in an arm's-length negotiation. Active concealment or a misleading half-truth can convey a false impression. A statement still operating at formation may need correction if circumstances materially change before signature, as illustrated by *With v O'Flanagan*.

How to prove actual reliance

Compare the statement with approval emails, notes and the buyer's own investigations. *Redgrave v Hurd* shows that an unused opportunity to verify does not defeat actual reliance. In *Hayward v Zurich*, doubts about the truth of a statement could coexist with actual inducement. Evidence that the recipient relied entirely on an independent source can point the other way.

> Exam method | State the precise fact conveyed, identify the evidence of falsity and explain what shows that the recipient acted on the representation.

Rescission and Damages

1. Rescission | Unwind the transaction

Rescission aims to restore the parties as far as practicable. Affirmation after discovery, intervening rights of an innocent third party or practical inability to restore benefits may affect availability. Under section 1 of the Misrepresentation Act 1967, performance of the contract or incorporation of the representation as a term does not by itself bar rescission.

2. Fraudulent misrepresentation | The tort of deceit

Under *Derry v Peek*, fraud involves a false statement made knowingly, without honest belief, or with indifference to its truth. Carelessness is assessed for what it reveals about genuine belief. A claimant seeking damages in deceit must also establish that acting on the representation caused loss.

3. Section 2(1) | Damages under the 1967 Act

Where an inducing misrepresentation by the other contracting party causes loss, section 2(1) can award damages if the statutory conditions are met. The maker can avoid liability by proving both reasonable grounds for belief and actual belief in the statement up to formation. An honest belief with inadequate grounds can therefore give rise to statutory liability.

4. Non-fraudulent statements | Damages in lieu of rescission

An honestly and reasonably held mistake can still support rescission if the other requirements are met. Under section 2(2), the court may keep the contract in force and award damages instead where the misrepresentation was non-fraudulent and the right to rescind remains available. The decision is discretionary (*Salt v Stratstone*).

> Legal English | **Rescind the contract** means to set it aside. **Damages in lieu of rescission** means compensation in place of unwinding it.

Worked Problem and Authorities

The bakery’s delivery van

A dealer emails a bakery that a used van has never suffered structural accident damage. Before writing, the dealer acknowledged reading a repair report recording a collision and a bent chassis. The bakery’s purchase approval mentions the clean accident history and the price. It did not take up the dealer’s offer of an inspection. It buys the van for deliveries and discovers the damage two weeks later. Analyse the claim.

Model analysis

Representation and falsity. The email asserts an existing fact. The repair report contradicts it. The dealer’s prior acknowledgement supports an inference that the dealer knew the statement was false.

Inducement and remedy. The approval email supports actual reliance even though price mattered too. The unused opportunity to inspect does not by itself defeat reliance. The bakery can consider rescission, subject to any bars, and damages in deceit for proven loss. In practical terms, rescission would ordinarily involve giving back the van and recovering the price, with any necessary adjustments.

> Variation | The dealer honestly relied on an outdated database and had never seen the repair report. Reassess fraud. If the bakery suffered loss, ask under section 2(1) whether the dealer can establish reasonable grounds and actual belief up to formation.

Selected cases and legislation

Bisset v Wilkinson [1927] AC 177 | Opinion
Smith v Land and House Property Corporation (1884) 28 Ch D 7 | Implied fact
With v O’Flanagan [1936] Ch 575 | Discussed in Foodco
Redgrave v Hurd (1881) 20 Ch D 1 | Opportunity to check
Hayward v Zurich Insurance Co plc [2016] UKSC 48 | Actual inducement
Derry v Peek (1889) 14 App Cas 337 | Fraud
Misrepresentation Act 1967 ss 1–2 | Statutory remedies
Salt v Stratstone Specialist Ltd [2015] EWCA Civ 745 | Damages in lieu